No sooner had the refugee crisis died down than Bhutan was hit by another problem involving its neighbours. In the early 1980s, a student-led popular movement against illegal immigrants, primarily from Bangladesh, swept across Assam. While the movement's more moderate elements ended up forming a political party to contest state elections, some went underground and resorted to armed struggle for an independent Assam. The United Liberation Front of Asom [Assam] (ULFA), whose ideology was a mixture of Assamese nationalism and left-wing theories, during its heyday in the mid- and late 1980s, had base camps in various parts of Assam as well as a smaller presence across the border in Myanmar, where it co-operated with Naga and Manipuri insurgents who had established strongholds there, beyond the reach of the Indian Army.

Successive Indian Army operations in Assam in the early 1990s, among them Operation Rhino and Operation Bajrang, forced ULFA's armed cadre out of the state. New bases were established in Bangladesh and in southern Bhutan. ULFA shared some of the camps with three other groups of militants from India's northeast: the National Democratic Front of Bodoland and the Bodo Liberation Tigers Force, which were active among the Bodo plain tribals of Assam, and the Kamtapur Liberation Organisation which wanted to carve out a state called Kamtapur comprising areas of northern West Bengal and western Assam or the sensitive 'Siliguri Neck' between Nepal, Bhutan, and Bangladesh.[42] With camps and sanctuaries in Bhutan and Bangladesh, the insurgents had positioned themselves on both sides of 'the neck', posing a powerful threat to India's national security.

Some observers believe that the Bhutanese government 'invited' the militants from India's northeast to help them 'drive out' the Lhotshampas.[43] But there is little evidence to support this allegation. The insurgents actually moved into Bhutan after most of the Lhotshampas had left. The camps were also established in remote, forested areas in the hills above the southern plains where the Lhotshampas lived. A more plausible explanation is that Bhutan lacked the means to drive them out. And some of the tribal people living in the areas where the camps were located were related to those across the border in Assam, which made for a friendly environment for the insurgents.

Naturally, Bhutan came under pressure from India to take action against the intruders. The Bhutanese government tried, on several occasions, to resolve the problem through negotiations with the leaders of the insurgents.